credit-worthy businesses. This premise is wrong. Farmers, small businesses and affordable housing are all legitimate businesses. Small finance banks, microfinance institutions and specialized NBFCs would serve these credits very well. The announcement of targets for crop lending by banks by the finance minister should make us realize that this is not a banking service but an unsuitable bargain being forced upon banks and farmers. Likewise, governments have a number of subsidy programmes. The government should not link subsidy with credit. Credit should be availed only if the beneficiaries concerned need credit and it should be left to them to take credit from where they are comfortable. The government can deliver the requisite assistance through the direct benefit transfer mechanism. There are about 25 crore borrowers from banks today. Over 20 crore are linked with government-directed credit or subsidy-linked programmes in some way. Banks would be able to focus on lending for growth and development if they were not asked to manage such a large clientele.

Undo Nationalization by Privatizing all PSBs except SBI

By the 1980s, 90 per cent of banking credit in India was under the umbrella of government control. However, the error of this policy soon became apparent and new private banks were licenced in 1994. PSBs have lost 29 per cent of share in credit in the past thirty years. Even if it remains business as usual, it seems certain that by 2025, the share of PSBs (including SBI Group) in outstanding credit will fall below 50 per cent in India.

The government has been consolidating the PSBs by merging them. Vijaya Bank and Dena Bank were merged with Bank of Baroda in 2019. In 2020, Oriental Bank of Commerce and United Bank of India were merged with Punjab National Bank. Allahabad Bank was merged with Indian Bank. Syndicate Bank was merged with Canara Bank. Andhra Bank and Corporation Bank were merged with Union Bank of India. Thirteen PSBs